

Form 10-K Excerpt - Item 7 MD&A (Sample Corp.)

ITEM 7. MANAGEMENT'S DISCUSSION AND ANALYSIS OF FINANCIAL CONDITION AND RESULTS OF OPERATIONS

Overview. Total net revenue for fiscal year 2024 was \$4.82 billion, an increase of 11.3% compared to \$4.33 billion in fiscal year 2023. The increase was primarily driven by growth in our subscription services segment, which grew 18.4% year-over-year.

Gross Profit. Gross profit for fiscal 2024 was \$2.91 billion, representing a gross margin of 60.4%, compared to a gross margin of 58.7% in fiscal 2023. The margin improvement reflects increased operating leverage in our cloud infrastructure.

Operating Expenses. Total operating expenses increased to \$1.98 billion in fiscal 2024 from \$1.76 billion in fiscal 2023, primarily due to increased headcount in research and development, which grew from 3,200 to 3,850 employees.

Net Income. Net income for fiscal 2024 was \$612 million, or \$2.14 per diluted share, compared to net income of \$498 million, or \$1.76 per diluted share, in fiscal 2023.

Liquidity and Capital Resources. As of the end of fiscal 2024, the Company had cash and cash equivalents of \$1.15 billion and total debt of \$800 million. The Company believes its existing cash balances, together with cash generated from operations, will be sufficient to meet working capital and capital expenditure needs for at least the next 12 months.

Risk Factors Summary. The Company's results may be affected by factors including foreign currency fluctuations, customer concentration in the enterprise segment, and increased competition in the cloud infrastructure market.